FOUNDATION EXAMINATION
PAPER – 2 : BUSINESS LAWS
SAMPLE QUESTION PAPER – 1

Time Allowed : 3 Hours | **Maximum Marks : 100**

General Instructions:

1. Answer to questions are to be given only in English except in the case of candidates who have opted for Hindi Medium.

2. Question No. 1 is compulsory.

3. Answer any four questions from the remaining five questions.

4. Working Notes should form part of the answer.

5. Candidates found copying or using electronic gadgets during examination will be liable for punitive action.

Question 1

(a)

(i) (3 Marks)
Mr. Rohan agreed to sell his old luxury watch to Mr. Karan for ■2 lakhs. Unknown to both parties, the watch had already been destroyed in a fire accident one day before the agreement.

Examine the validity of the agreement according to the provisions of the Indian Contract Act, 1872.

(ii) (2 Marks)
Ms. Tina offered to sell 500 bags of rice to Mr. Vikas and stated that the offer would remain open till 15th June, 2026. On 12th June, Tina sold the goods to another buyer without informing Vikas. On 14th June, Vikas posted his acceptance letter.

Advise whether a valid contract has been formed according to the Indian Contract Act, 1872.

(iii) (2 Marks)
Mr. Arjun promised to donate ■5 lakhs to a charitable hospital for treatment of poor patients. Based on the promise, the hospital purchased medical equipment worth ■3 lakhs. Later, Arjun refused to pay.

Can the hospital recover the amount? Explain with reference to the Indian Contract Act, 1872.

(b) (5 Marks)
SKM Technologies Pvt. Ltd. has paid-up share capital of ■1.5 crores and turnover of ■18 crores during the financial year 2025–26.

Further:
• 70% shares are held by PQR Ltd.
• PQR Ltd. is a public company.

Examine with reference to the provisions of the Companies Act, 2013:
1. Whether SKM Technologies Pvt. Ltd. can be treated as a Small Company.
2. Whether it will be considered a subsidiary company.

(c) (6 Marks)
Under the provisions of the Indian Partnership Act, 1932, explain:
1. Rights of an outgoing partner to carry on competing business.
2. Liability of a minor admitted to the benefits of partnership after attaining majority.

Question 2

(a) (7 Marks)
M/s Green Agro Ltd. entered into a contract with M/s Nature Foods for supply of 2,000 packets of organic wheat flour. The goods were specifically identified and stored separately in seller's warehouse.

Before the delivery date, heavy floods destroyed the warehouse and entire stock without fault of either party.

Discuss with reference to the Sale of Goods Act, 1930:
1. Whether the contract becomes void.
2. Who shall bear the loss.
3. What would be your answer if goods were not specifically identified at the time of contract?

(b) (7 Marks)
Explain the Doctrine of Indoor Management and state any four exceptions to this doctrine under the Companies Act, 2013.

(c) (6 Marks)
A and B formed an LLP for running a consultancy business. They proposed to admit C as a designated partner. C is a foreign citizen residing in India for only 80 days during the financial year.

Examine with reference to the provisions of the Limited Liability Partnership Act, 2008:
1. Whether C can become designated partner.
2. Minimum requirements regarding designated partners in LLP.